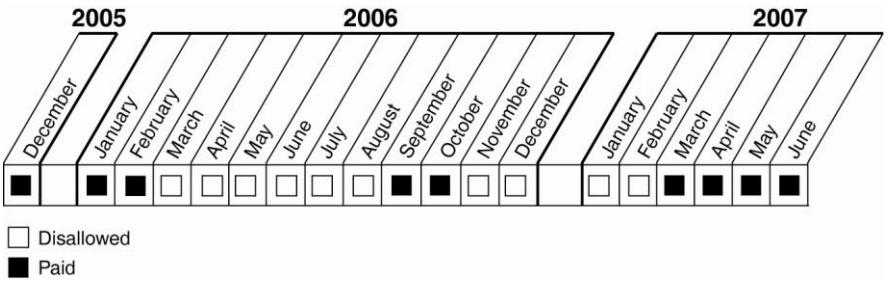
Defense Made Payments Without Obtaining Detailed Documentation to Support Pakistani Claims

The Comptroller's CSF guidance states that Pakistani claims should include associated invoices. In the absence of such support, CENTCOM officials should obtain from Pakistan a detailed description of how these costs were computed. For example, claims for fuel should include information such as total fuel consumed, the number and types of vehicles supported, and best available assessments of the number of miles driven or hours employed. However, we found that few of the Pakistani claims we reviewed met the criteria contained in the Comptroller's guidance. For example, 76 percent of the army's costs from January 2004 through June 2007 lacked sufficient information to allow Defense to perform basic recalculations needed to verify the claims, such as quantity times price.[16] Despite the lack of documentation, Defense reimbursed Pakistan more than $2.2 billion. An official at ODRP with a role in reviewing CSF reimbursement claims stated that, based on the scarce details provided in the CSF claims, it was nearly impossible to know the actual cost of claimed items. When we discussed this issue with the Comptroller's office, they indicated that the Pakistani claims do not provide enough detail to explain the context of the costs, which makes it difficult to determine whether the costs are incremental (i.e., that claimed costs are above and beyond the partner country's normal operating costs) and, therefore, whether under the Comptroller's guidance the costs should be reimbursed.

We found other examples where Defense officials did not obtain sufficient information necessary to validate the claims and did not adequately document the basis for their decisions to allow or disallow claims. As a result, there were inconsistencies in Defense's reimbursement of certain costs. For example, as illustrated in figure 3, Defense paid Pakistani navy claimed costs for boats for about half of the months and disallowed them the other half, despite no discernable differences in the level of support the Pakistani government provided for the claims.



Source: Defense.

Note: Figure includes all monthly reimbursement claims that itemized costs for navy rigid hull inflatable boats.

Figure 3. Comptroller Approvals and Disapprovals of Pakistani Navy CSF Reimbursement Claims for Boats, by Month, December 2005 through June 2007

We identified additional inconsistently reimbursed costs that contained no discernable differences in the level of support. For example, the Comptroller generally disallowed Pakistani army claims for bulletproof jackets but occasionally paid them. Conversely, the Comptroller generally paid for army telephone cables but occasionally disallowed these costs.

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